

Anti-Money Laundering (AML) & Know Your Customer (KYC) Policy

Kellogg Holdings LLC
Licensed Money Transmitter – Alabama

Effective Date: 1/1/2025

1. Purpose

Kellogg Holdings LLC (“KHLLC”) is committed to maintaining the highest standards of integrity and compliance in all of its operations, particularly with regard to Anti-Money Laundering (AML) and Know Your Customer (KYC) obligations. This policy is designed to prevent the use of our services for money laundering, terrorist financing, fraud, or other illicit activities, and to comply fully with all applicable federal and state laws, including the Bank Secrecy Act (BSA), USA PATRIOT Act, and guidance from the Financial Crimes Enforcement Network (FinCEN).

2. Scope

This policy applies to all business units, employees, officers, contractors, and agents of Kellogg Holdings LLC, as well as to all clients and transactions processed through the company, including domestic and international money transfers, paymaster services, currency exchange, and digital asset transactions.

3. Risk-Based Approach

KHLLC implements a **risk-based approach** to AML/KYC, ensuring that controls and due diligence measures are proportionate to the risk presented by clients, geographies, and transaction types. Enhanced due diligence is applied to higher-risk clients, transactions, or jurisdictions.

4. Customer Identification Program (CIP) & KYC

KHLLC establishes and maintains a Customer Identification Program as follows:

a. Individual Clients

- Full legal name
- Date of birth
- Residential address
- Government-issued photo ID (e.g., driver's license, passport)
- Verification of phone number and/or email address

b. Business Clients

- Full legal business name
- EIN or equivalent tax ID
- Principal place of business address
- Incorporation/formation documents (e.g., Articles of Organization)
- List of beneficial owners (≥25%)
- Authorized signatory's government-issued photo ID
- Verification of business contact information

c. Sanctions and Watchlist Screening

- All clients are screened against U.S. and international sanctions lists (e.g., OFAC SDN, UN, EU).

d. Non-Face-to-Face Clients

- Enhanced verification procedures (e.g., video verification, multiple ID document cross-checks).

e. Ongoing Monitoring

- Periodic reviews to ensure customer information remains accurate and up-to-date.
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5. Transaction Monitoring

KHLLC monitors all transactions for suspicious activity, including but not limited to:

- Large, unusual, or complex transactions
- Transactions inconsistent with known customer profile or business
- Rapid movement of funds through multiple accounts or platforms
- Incoming or outgoing transactions involving high-risk or sanctioned jurisdictions

Automated and manual systems are used to identify red flags. Any activity raising suspicion will trigger a review and may result in a Suspicious Activity Report (SAR) filing with FinCEN.

6. Enhanced Due Diligence (EDD)

EDD measures are applied for:

- High-risk clients (e.g., PEPs, non-resident aliens, crypto-related businesses)
- High-risk countries (as identified by FATF or OFAC)
- Large or rapid transactions without economic justification

EDD may include:

- Source of funds and wealth verification
 - Additional supporting documentation
 - More frequent account and transaction reviews
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7. Recordkeeping

KHLLC maintains all records required under the BSA and applicable state law, including:

- Client identification and verification documents (minimum 5 years after account closure)

- Transaction records (minimum 5 years)
- AML investigation and SAR filing records

Records are stored securely and are available for regulatory inspection upon request.

8. Reporting

KHLLC promptly files all required regulatory reports, including:

- Currency Transaction Reports (CTRs) for cash transactions >\$10,000
 - Suspicious Activity Reports (SARs) for any transaction suspected to involve illicit activity
 - Other filings as required by FinCEN, Alabama Securities Commission, or relevant authorities
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9. Employee Training

All employees and agents of KHLLC receive AML/KYC training at onboarding and at least annually, covering:

- Recognition of red flags and suspicious activity
 - Procedures for customer due diligence and verification
 - Reporting requirements and escalation protocols
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10. Data Privacy & Protection

KHLLC protects all personal and sensitive information in accordance with our Privacy Policy, utilizing:

- Encryption of data in transit and at rest

- Role-based access controls
 - Regular security audits
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11. Third-Party Service Providers

Where KHLLC relies on third-party service providers (e.g., payment processors, compliance tools), we ensure:

- The provider is reputable and compliant with all relevant laws
 - Contracts include AML/KYC compliance obligations
 - Ongoing monitoring of third-party compliance
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12. Review & Update

This policy is reviewed at least annually and updated as necessary to reflect changes in law, regulation, or business practices.

13. Contact

Questions or reports of suspicious activity may be directed to:

Compliance Officer: Travis Kellogg

Phone: 205-202-1093

Email: travis@kelloggholdings.com

Kellogg Holdings LLC is dedicated to transparency, regulatory compliance, and responsible business practices in all financial transactions and client engagements.